RRSP Guide

Registered Retirement Savings Plan rules for 2026 · the US dividend treaty · your deduction · what to hold

The RRSP is Canada's main retirement account. Contributions are tax-deductible, so you get money back at tax time, and growth is sheltered until you withdraw. Under the Canada-US tax treaty, dividends from US-listed stocks and ETFs held directly in an RRSP have no US withholding tax. That is its biggest edge over a TFSA for US stocks.

CONTRIBUTION RULES (2026)

Rule	Detail
Annual limit	18% of your previous year's earned income, minus any pension adjustment, up to the yearly maximum, plus unused room carried forward. Your Notice of Assessment shows your exact number.
2026 maximum	$33,810. Your own limit may be lower. (The 2027 maximum is $35,390.)
Deadline	March 1, 2027 for a deduction on your 2026 return. Unlike the TFSA, there is a 60-day window after year-end.
Unused room	Carries forward with no expiry. You can contribute until December 31 of the year you turn 71.
Over-contribution	A $2,000 cumulative buffer with no penalty. Beyond that, the tax is 1% per month on the excess (Form T1-OVP).
Converting to a RRIF	Your RRSP must be converted (usually to a RRIF) or cashed out by December 31 of the year you turn 71.
Home Buyers' Plan	Withdraw up to $60,000 tax-free to buy your first home. You repay it over 15 years, usually starting the second year after the withdrawal.

TAX IMPLICATIONS

Income type	Inside an RRSP	Tax line
Contributions	Deductible: lowers your taxable income	Line 20800
Capital gains	Tax-deferred: no tax each year	None until withdrawal
Canadian dividends	Tax-deferred, but you lose the dividend tax credit: withdrawals are taxed as regular income	None until withdrawal
US dividends	No US withholding on US-listed stocks and ETFs held directly (treaty exemption). The best account for them.	None until withdrawal
Withdrawals	Taxed as regular income at your marginal rate, with tax withheld at source	Line 12900

Canada-US tax treaty: dividends from US-listed stocks and ETFs held in an RRSP aren't subject to the 15% US withholding tax. In a TFSA or a taxable account, that 15% is taken every time a dividend is paid.

WHAT TO HOLD IN AN RRSP

Investment	Fit	Why
US dividend stocks (KO, JNJ, XOM, MCD)	Excellent	No US withholding thanks to the treaty. Enter them as KO, JNJ: no prefix.
US-listed ETFs (SPY, VTI, QQQ)	Excellent	Also exempt. The cheapest way to hold large US positions, if you're comfortable converting to USD.
Bonds and GICs	Good	Interest is taxed at your full rate outside a registered account, so sheltering it here helps.
TSX-listed US ETFs (TSE:VFV, TSE:XSP)	OK	Convenient, no currency conversion. The 15% US withholding still applies inside the fund, even in an RRSP. XSP is currency-hedged; VFV is not.
Canadian dividend stocks	Caution	You lose the dividend tax credit. They usually fit better in your TFSA.

GOOGLEFINANCE TICKER FORMAT: IMPORTANT

US stocks and ETFs do NOT need an exchange prefix. Adding the wrong one (for example NASDAQ:KO, when Coca-Cola trades on the NYSE) can return an error or $0. Use the ticker symbol only.

Stock type	Correct format	Will cause problems	Real examples
Canadian stocks & ETFs (TSX)	Always add the TSE: prefix	RY alone can return the US (NYSE) listing, in USD	TSE:RY · TSE:VFV · TSE:ENB · TSE:XEQT
US stocks (NYSE / NASDAQ)	Ticker only, no prefix	NASDAQ:KO can return $0	KO · AAPL · JNJ · JPM · XOM · MCD
US ETFs	Ticker only, no prefix	NYSE:SPY can fail	SPY · VTI · QQQ · VIG · SCHD
US holdings in your RRSP	Ticker only, no prefix	NASDAQ:MSFT is unreliable	MSFT · GOOGL · V · MA · BRK.B

TSX-listed ETFs that hold US stocks (TSE:VFV, TSE:XSP) work with the TSE: prefix and save you converting to USD. Keep in mind that the 15% US withholding tax on their dividends applies inside the fund, even in an RRSP. Only US-listed ETFs (like VOO or VTI) held in an RRSP avoid it.

This guide is for general education and reflects CRA rules for the 2026 tax year. Rules change. Talk to a tax professional about your situation.

Sources: canada.ca (RRSP deduction limit and MP, RRSP dollar limits for 2026 and 2027, Home Buyers' Plan, excess contributions); Canada-US Tax Convention, Article XXI.